Executives
Alfred Penny - President of Bimbo Bakeries USA Inc
Daniel Javier Servitje Montull - Chairman, CEO & Member of Advisory Board
Guillermo Jorge Quiroz Abed - Chief Administration & Financial Officer and Member of Advisory Board

Analysts
Alan Alanis - Research Analyst
Alexander Reid Robarts - Managing Director and Head of Latin American Consumer Staples Equity Research Team
Fernando Ferreira - Director
José Juan Yordán - Research Analyst
Lauren Elaine Torres - Analyst
Luca Cipiccia - Research Analyst
Nikolaj Lippmann - Equity Analyst

Presentation

Operator
Good morning, everyone, and welcome to Grupo Bimbo's Second Quarter Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com. Before we begin, I would like to remind you that this call is being recorded and that information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the call over to Mr. Daniel Servitje, Chairman and Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Thank you very much, and good morning, everyone. Thank you for joining us today. Here with me on the line are Guillermo Quiroz, our CFO; Fred Penny, the Head of the U.S. operations; and several members of our finance teams.

As usual, I will focus on the key factors and trends driving performance in the period. After which, we will be happy to take any questions you may have.

Overall, this was a good quarter for Grupo Bimbo. We generated double-digit growth of 20% in operating income and almost 30% in EBITDA, despite a single-digit rise in sales and higher overall raw material cost. This performance reflected substantial operating improvement, both notably synergies and efficiencies in the United States, and to lesser extent, the FX benefits in Mexico.

As we take in the view from the midpoint of this year, I would say we are well on track in terms of executing key global initiatives, such as the low cost supply chain, global purchasing and leadership

development. And we are making notable progress with integrations at BBU and Iberia. At the same time, we must continue to address certain challenges, such as the Brazil restructuring and some particular tough market. I will discuss these in more detail as we review performance by region.

In Mexico, sales volume improved on a sequential basis with the recovery in most core categories. On the cost of goods side -- cost of goods sold side, we benefit from better FX, which more than offset higher input prices and helped drive the improvement in operating performance.

Moving on to the United States. Once again, performance at BBU deserves the spotlight. Sales grew more than 7% in dollar terms before the California divestiture impact. Notwithstanding, performance in 2Q underscores the extent of volume growth across the remainder of the country, as well as positive performance in almost all categories and channels and market share gains. That said, what is particularly notable about this quarter is that despite negative exchange rates, higher wheat cost and an increasing integration expenses, there was an almost 40% rise in dollar terms in operating income, which was purely driven by our revenue growth, asset optimization strategy, integration synergies and waste reduction initiatives to the tune of almost $38 million during the quarter.

To meet our 2013 objectives in this market, we have a number of priorities for the second half of the year, including maintaining and accelerating momentum in new products, continuing to aggressively grow our brands in order to expand our market share gains and accelerating regional assets, restructuring projects and supply chain optimization in order to drive greater efficiency.

Continuing to Latin -- on to Latin America. Solid volume growth in some of our markets contributed to positive sales growth in terms of local currencies, and production efficiencies helped generate gross margin improvement. Given the importance of the Brazil operation, however, let me focus specifically on what is happening there with the benefit of being about 6 months into the turnaround process. We need to acknowledge the extent of the challenges we face there. In terms of a business whose structure was simply not sustainable, but over the years, we have gained market share and brand recognition and have a solid #1 position. At some point, after we entered the Brazilian market 1,000 years ago and made a number of high-profile acquisitions, I think we lost a bit of the Grupo Bimbo DNA, putting too much focus on capturing immediate growth and losing sight on building a sound business for the long run. This manifested in several ways, including moving away from our original distribution model in the different channels and not having a strong IT backbone to scale the operation.

Today, our comprehensive restructuring efforts are addressing all these factors with a three-pronged approach: The first, builds with a growth revenue strategy where we are developing the traditional channel and improving profitability at the modern channel, while launching new products and optimizing our portfolio; second, in terms of cost and expenses, the entire value chain is being restructured, purchasing, production, labor, logistics; and third, we are looking at the long-term sustainability of the business, including reimplementing an ERP system that will scale as we grow, and provide a comprehensive data and sufficient transparency required for good decision-making and day-to-day execution of the business.

There is a cost for undertaking these efforts as evidenced by the $50 million expense this quarter, $42 million of which was in noncash charges for certain write-downs. We are making good progress on the restructuring and are determined to finish it this year. This has a full focus of Grupo Bimbo's staff management and obviously, is a #1 priority for the current leadership of the Brazilian and South

American operations who are accountable for its successfully execution.

Lastly, a quick note on Iberia. Sales rose over the year -- year-ago period in local currency, driven by a number of successful product launches and our point-of-sale strategies. And we benefited from new efficiencies in our manufacturing platform that continued to narrow our losses during the period. Nevertheless, we anticipate several more challenges -- challenging quarters ahead, given the consumption environment in that region and the changes we are planning for the business.

In terms of our consolidated financial position, we are glad to report that debt-to-EBITDA ratio was 2.6x in June, compared to 3x in December. Year-to-date, we have paid down more than $100 million of our obligations and continue to pursue our target leverage ratios through a disciplined cash management approach.

I also want to reiterate our outlook for the remainder of the year. We expect sales strength to continue to positive trajectory in most of our markets and continued improvement in profitability at the consolidated level, despite a slight pressure in gross margin coming from some commodities.

This concludes my remarks this morning. So we can, at this point, be ready for the questions-and-answer session.

Question and Answer

Operator
[Operator Instructions] Our first question comes from Alan Alanis with JPMorgan.

Alan Alanis
The main question I have regarding Mexico. We've seen a deceleration in retail sales for [indiscernible] and other metrics as the year progresses. And your results actually show the opposite. You're seeing an acceleration of sales in the second quarter relative to the first quarter. And it seems that this is not a seasonal effect. This is the last few years. Sometimes, the second quarter, sales in Mexico accelerate, in other years decelerate. Could you expand a little bit more in terms of how you're achieving this? And what is the relationship of this acceleration also with the increase in operating expenses at the level -- above the level of top line growth in the second quarter? That would be my first question. And then I have a quick follow-up on taxes for Guillermo.

Daniel Javier Servitje Montull
Thank you, Alan. Well, let me tell you that we had one more day of sales this quarter, compared to the one that we had last year. And on the other hand, we still see the market in a sluggish mode. We're -- we are not -- we had anticipated more strength in the market, as you're commenting, from also the [indiscernible] numbers. And we're doing as much as we can to increase our revenues here in Mexico. But the market is not in a very high mode.

Alan Alanis
Got it. And could you talk a little bit about this operating expenses in terms of moving in line? I mean, was the result of your acceleration a consequence of putting more marketing money or more promotions? Should we interpret that on the operating expense lines or not?

Daniel Javier Servitje Montull
Well, yes, certainly, we had a bit more of promotions -- consumer promotions, and some product launches, or relaunches in the quarter in Mexico. And we're also trying to go for some improvements in the traditional channel in some of the major cities in Mexico. Those would be sort of the main actions at the sales side of the initiatives for increasing our sales.

Alan Alanis
Got it. And now, quick question on taxes, I mean, your effective tax rate is somewhere 40%. How should we think about your effective tax rate going forward? And what's the reasons behind such a high effective tax rate, Guillermo?

Guillermo Jorge Quiroz Abed
Alan, there are several reasons. But the most important one is that we are not accruing deferred taxes for the losses we are having in Brazil. That's it -- that's a huge impact. Another -- that's the most important one. Another factor from, what is called componente inflacionario [ph], which is the tax on inflationary gain on debt, that is something to -- we expect to continue. The impact of the second quarter was much lower than the first one because inflation was low, even it was a deflation for the whole quarter. But in a nutshell, I would tell you that at least for the rest of the year, you should expect a similar tax rate, at least, until our Brazilian operation recovers fully.

Operator
Our next question comes from Fernando Ferreira with Merrill Lynch.

Fernando Ferreira
My first question would be on the U.S. side. Do you think you'd be able to achieve your 10%, 11% EBITDA margin goal before your initial expectation? And also, if you could please comment on the competitive environment now that Hostess is back into operation?

Alfred Penny
I think we're comfortable, the management team at BBU is comfortable that we're on pace to achieve our EBITDA goals by 2015, as we laid it out at the time of the Sara Lee acquisition. We continue to work hard on achieving the synergies and on our asset restructuring and the key projects that are going to drive the improvement that we're looking for. Relative to the Hostess reentry, it clearly is going to make the market more competitive, both in sweet goods and ultimately in bread as the brands reemerge. How's that going to happen remains to be seen, but we're prepared to compete going forward in the new market structure that we're going to have.

Fernando Ferreira
And then, I had a follow-up question on Latin America. When you add back the $42 million of noncash charges, you get to a positive EBITDA margin. I just wanted to ask you, how comfortable you are that this is a sustained level of margins going forward? Or you think there's still some volatility here in the quarters ahead?

Guillermo Jorge Quiroz Abed
Yes. I would say that there is going to be still some volatility, smaller than the one we have had. We are still working on some of the -- some reviews of some of our assets in the balance sheet. But I do think that most of the way has been walked, but even we are forced to make some other adjustments. These

adjustments or these write-downs will also be noncash -- noncash things. So volatility is going to -- we are expecting some volatility, but not as high as the one we have had before. We are getting closer to an end.

Operator
Our next question comes from Nikolaj Lippmann.

Nikolaj Lippmann
Three quick questions, if I may. First, a follow-up on Alan's question, I'm sorry for being slow there. So can you confirm -- so you're seeing much more growth or more growth in the small box retailing vis-à-vis the big box retailing, is that correct? Second question on the U.S., as we see more sort of competition in the U.S. market, the data we have been looking at suggest that promotional activity has already been going up especially for Flowers, can you confirm that? And then also, just from what you can see in the U.S., it looks like marketing has gone up, especially from Apollo. How are you thinking about marketing versus discounts going forward as some of these brands have been clocked back into the market? And finally, on the Brazil charge, can you try to discuss a little bit about, you had a lot of volatility in Brazil, and just try to discuss a bit about how much -- what that -- what could have been above the line? How much of this is reoccurring, not reoccurring, in terms of the charge related to Latin America? Those are my 3 questions.

Daniel Javier Servitje Montull
Okay. So we'll sort these questions, Nikolaj, among ourselves. Let me take the first question. No, we're seeing the highest growth is in sort of the modern, small format channel, meaning convenience and proximity stores. Those are the ones that are growing the most. And the other ones, we're basically looking at where we have an opportunity to do better, but not necessarily on a percentage of our year ago, we're seeing more growth in the traditional channel than the high -- than the higher size, bigger size format. So all in all, the growth level in Mexico is not what we had expected during the year. Although we are more optimistic about what we would be seeing, maybe not in the third quarter, but hopefully in the fourth quarter and in the future. On the second one, Fred, do you want to answer that one, please?

Alfred Penny
Sure, Daniel. Thanks for the question, Nikolaj. The -- first on the promotional activity, as it relates to bread, at least, when we look at IRI, certainly -- when I'm looking at IRI, I wouldn't say that I've noticed -- I'll call it a significant change in promotional activity. I think the market generally -- and I think I commented on this on prior calls -- the market generally has remained fairly competitive in bread. And given the overall state of the economy and consumer expectations, I'm not surprised by that. There has been, as you noted, a significant increase in, let's say, marketing activity, specifically with the Hostess cake reemergence, which is now essentially a week in the market, and again, I wouldn't characterize that as a surprise. From our own strategy standpoint, we've launched Sara Lee earlier this year, Sara Lee cakes, and basically, the entire U.S. now, and we're going -- on a go-forward basis, we're going to support that launch with marketing and promotional activities as we feel the need to do. And we'll just continue to be focused on our strategies by category in every part of the market.

Guillermo Jorge Quiroz Abed
Regarding the last part, Nikolaj, I would say that we have a process here. I would say a very strict one when we accept any expense as a noncash thing. And basically, all of the $42 million are -- or -- are come from write-downs in the balance sheet. For example, the most important part comes from adapting

the much more strict accounting policies regarding to accounts receivables. We were applying before the general policies for Grupo Bimbo. And now we are -- as I -- considering the reality of the Brazilian markets, we are applying much more strict policies. So those are clearly noncash charges. And especially those related to the accounts receivable problem, we are not expecting any more adjustment for the rest of the year.

Nikolaj Lippmann
Okay. Just a quick follow-up, I'm sorry for being slow. How much of it is related to accounts receivable? And if someone doesn't pay you, it's noncash, but it's also operational, so did that go above or below the EBITDA line?

Guillermo Jorge Quiroz Abed
No, no. Basically, it's nonoperational. It's just -- we are registered there. Just the -- it's coming from the change of policy, which I was saying before was -- it was a new thing applied in April, if I don't -- if I'm not wrong. So the status of the accounts receivable has not changed, it's about the same. But this is a one-time charge coming directly from applying a more strict policy.

Nikolaj Lippmann
Could you mention how much of it was related to accounts receivable?

Guillermo Jorge Quiroz Abed
About half of that.

Operator
Our next question comes from Lauren Torres with HSBC.

Lauren Elaine Torres
My question does go back to Mexico, also. Obviously, we had a nice benefit on currency in the quarter. But from a fundamental perspective, I think you mentioned that volume sequentially got better, but they were still weak. So I'm just trying to -- I hope you could dig into that a little bit more, as far as what you're seeing in the consumer standpoint. Is it more about pricing and volume is hard to get? And how we should think about the rest of the year?

Daniel Javier Servitje Montull
Well, as I said before, I don't think that it's one specific category. We did have a slowdown in our confectionery business, more related to the closing of one of our plants. But all in all, I would say that the majority of the categories, I would say that are not growing as expected. But we're holding our base. And the fact is that we're trying to do as much as we can. The market is not growing as we expected. And I think that's, in general, the tone of the Mexican market as a whole, so not different from what you would expect in other consumer goods companies, I believe, or retail public companies as well.

Lauren Elaine Torres
And I'm not sure if it's early for you to comment on the potential -- the VAT coming through later this year, at least, affecting you next year, what the response to that would be, if and when that happens?

Daniel Javier Servitje Montull

Yes, I think it is still -- as you all know, it's still in some preliminary discussions. Nothing has been presented yet as a proposal in Congress. And we'll hope -- we think that we'll see something more clearly in the month of September. But as of now, we cannot have any color on what's going to be the impact or the outlook for the VAT for Mexico and specifically for our company.

Lauren Elaine Torres
Okay. And I guess, just as a follow-up to that, would you comment that you would take pricing as a result of that? Or you have to absorb it in light of how the consumer market has been?

Daniel Javier Servitje Montull
I think we'll see what ends up being the VAT, and then we'll take appropriate measures then.

Operator
The next question comes from Luca Cipiccia with Goldman Sachs.

Luca Cipiccia
Just a follow-up on Brazil. First, if you can sort of reconcile earlier comments that the tax impact will be negative still for a few quarters, and the fact that the underlying profitability somewhat is improving and charges would be diminished as we look into the second half? So how long before the stop of dilution on your tax rate will fade away? And secondly, more broadly, if you could comment maybe on the strategy in Brazil more in the medium term? You made a comment earlier about going after top line maybe too aggressively, what is the game plan now? Is it, do you need more scale? Do you need less scale? Or is it sort of more focused on profitability? If you could maybe share some of the thoughts on sort of medium-term strategy and positioning in Brazil as well?

Daniel Javier Servitje Montull
Well, let me take the second question and I'll defer the first one to Guillermo. Our plan in Brazil, as we outlined, really is working on the 3 areas. One is revenue opportunities. We do have a lot. And as we have a good system base, we are more confident to expand our opportunities to take advantage of our brand's presence -- I mean, image and strength, to go after the small accounts. We're doing this gradually in specific regions, and we're having a good success as we unfold this growth strategy. But it's based on having the site controls and systems to go after this business, which we didn't do rightly in the past. So that's on the revenue side. We are, as we mentioned, looking at all the opportunities for reducing cost, and there's a plan for that. And it's going on track on most of the KPIs. The part that will allow us to have a stronger business in the future is really making sure that we have the right systems and controls in all the processes. And this is a work in progress. We hope to finish this by year end as we make sure that we have a very complete ERP system, which we had partially, but given the complexity of the Brazilian regulations, we ended up having local systems as well. And now, we're implementing a complete system from one end to the other. And that's basically what we're focused in, in Brazil. And as I said before, it's a major priority for me and for my team here in Mexico, and obviously, for the ones in Latin America as a whole.

Luca Cipiccia
If I could just -- as a follow-up also. Is Brazil still a market where you see consolidation opportunities? Or it's not really a priority?

Daniel Javier Servitje Montull

No. It's a market with a lot of opportunities, as I told you. There are -- we're still not covering a lot of ground regionally and in each market. We are still not covering a lot of ground in the small-store channel. And we see a lot of opportunities in that segment as we do in other markets as well. And we're gradually growing with good success in the regions where we have embarked it already in a growth mode there. So we're bullish in Brazil. We're also expanding our manufacturing footprint even as we do the restructuring, and we see opportunities for the long run. The only issues that we need to make sure, that we have the right systems in place to allow us to have transparency and controls, given the complex nature of the regulations in Brazil that are larger and more difficult than what we have in the rest of the countries in which we operate.

Guillermo Jorge Quiroz Abed
Luca, can you please remind me, you were asking about the tax rate and the first part was what?

Luca Cipiccia
My question was, as we look after the second half -- the top of -- you were saying that a lot of the impact on the very high tax rate is coming from the losses that you're recording in Brazil. And so, I was wondering how much visibility did we have in this dilution to still occur in the second half as well as in 2014?

Guillermo Jorge Quiroz Abed
Basically, I would say we are foreseeing a better second half in Brazil than the one -- than the first half of the year. So according to that, the impact of the Brazilian operation in the profit before taxes line would be much smaller. And so the ratio between taxes and profit before taxes line would be a bit better. But we are not considering that on a sustainable basis until the Brazilian operation shows a solid profit. That was one. And we are not foreseeing -- we think that most of the write-downs have already take place or taken place. And so, this should get better gradually. But nothing really important for the rest of the year. 2014 should be better in that case.

Operator
The next question comes from Robert Alex from Citigroup.

Alexander Reid Robarts
It's Alex Robarts. Just wanted to start out with a Mexico question, and then turn to Brazil. The -- when we look at the first half of the year in Mexico, the top line's been lackluster. And yet, you've got almost 300 basis points of gross margin expansion, which I think, in a certain way, can kind of describe what happened this first year on a consolidated basis as far as your earnings growth. But we think about this margin expansion in the first half, currency has been -- a help, your hedges have also worked nicely. As we think about the second half of the year in Mexico in this COGS item, we have less tailwind or benefit, as we see it at Citi, from a currency benefit. We -- I also kind of seem to hear you say that there's going to be some slight pressure from the commodity side in the second half of the year. How can we -- how could you kind of describe to us the thinking around -- or some color around the second half gross margin in Mexico? Should we expect the same type of year-on-year improvement? Should it be more flattish? Any color would be great.

Daniel Javier Servitje Montull
Well, I think you summarized correctly what we had in the first semester. And my expectations on the second semester in Mexico are along the lines also that you mentioned. We are not going to have the

favorable winds that we had on FX. And we won't have also some of the benefits of the commodities that we had in the first semester. So we will expect to have probably lesser -- less better numbers than the one that we had in the first semester. Although, we will have year-over-year good numbers at the end of this second semester. So not as good as we had then. But better than last year's, nevertheless.

Alexander Reid Robarts
And if I could kind of just follow up on this one. You started to in an earlier question that, as you talk about still in a sluggish mode in Mexico, since your price increase, it doesn't sound like you've taken any price in Mexico since December. What's the thinking in terms of pricing in Mexico second half? Might it be something that you'd do ahead of the potential tax increase, or is it just kind of you're just taking this month-by-month here?

Daniel Javier Servitje Montull
Yes. We have taken a very slight price increases as a whole in Mexico. And we will be reviewing what our strategies are for pricing, depending on what -- what's the outcome of the input costs and any other changes in the market. But as of now, we're focused mostly on trying to improve our growth base by the different strategies that we have in place in the different organizations and categories.

Alexander Reid Robarts
Okay, fair enough. Just now on Brazil, I mean, you make a pretty interesting case to say that the volatility should be less, that you say second half will be better in Brazil than first half. But the visibility for us, I mean, it's still very, very reduced as far as these charges. And just want to clarify a couple of things here as we look out to the second half of the year. You said 3 things. You said the extent or the magnitude, right, of the charges will be less than what you had. Is that kind of less than what you had in the fourth quarter or less than what you had this quarter? If you could kind of clarify that base that you referred to there? You also said that it's going to be mostly noncash, just want to confirm that. So as you see it now, the subsequent charges are going to be the majority of which are going to be noncash, I just want to make sure that, that was true. And the timing of this restructuring, I recall an earlier conference call, you mentioned 18 months, which kind of brings us into early 2014, but I feel like you've mentioned that management's strategizing for the end of the year. So is it still the 18-month time frame for this process or is it year-end?

Guillermo Jorge Quiroz Abed
Okay. Alex, okay. First -- first of your questions, the answer is yes. We are expecting low, smaller charges, smaller than the second quarter and smaller than last year. Second, it's also yes. We are not -- all of the charges that might come, they are expected to be noncash. And during the rest of the year, we are expecting the Brazilian operation to get better than the first 6 months. But we do expect the operation will be a profitable one for -- by the end of 2014.

Daniel Javier Servitje Montull
Yes and -- yes, go ahead.

Alexander Reid Robarts
I'm sorry, just -- I mean, so profitable by the end of 2014, that means at the EBITDA levels, yes?

Guillermo Jorge Quiroz Abed
No, no, that means at the EBIT level.

Alexander Reid Robarts
EBIT? Okay.

Daniel Javier Servitje Montull
But that's on the -- not on a full year. It's just on the '14.

Operator
The next question comes from José Yordán with Deutsche Bank.

José Juan Yordán
My questions were answered. So if you could just give us an update on your current CapEx plans for this year and next, that would be great. I mean, just on what -- I know what you said is sort of a long-term 5-year plan. But how much are you going to realistically be able to implement this year and next, in terms of CapEx?

Daniel Javier Servitje Montull
We are still maintaining our original [ph] expectations, that is about $550 million for the full year.

José Juan Yordán
For '13. And any idea on '14?

Daniel Javier Servitje Montull
No debt.

Operator
This concludes our question-and-answer session. I would now like to turn the conference back over to Mr. Daniel Servitje for any closing remarks.

Daniel Javier Servitje Montull
Well, thank you all for your time today. And please do not hesitate to contact us with any further comments or questions you might have. And we look forward to speaking with you soon.

Operator
The conference has now concluded. Thank you for attending today's presentation. You may now disconnect.

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